



JOHNSTONE SUPPLY

Rochester: 95 Halstead Street, 14610
Toll Free: (800) 724-8806
Tel: (585) 482-8000 • Fax: (585) 482-6000
eMail: store141@johnstonesupply.com

Syracuse: 835 Canal Street, 13210
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Tel: (315) 479-8800 • Fax: (315) 479-8600
eMail: store269@johnstonesupply.com

Order on-line at www.JohnstoneSupply.com/141

July 31, 2019

Ms. Karen Craft
18 Highpoint Trail
Fairport, NY 14450

Dear Karen:

I am pleased to offer you the position of Controller for Johnstone Supply of Central NY. This letter is to confirm my offer and your acceptance of the position. You will be reporting directly to me as your General Manager and President.

Unless an alternate mutually satisfactory date is agreed upon, your employment will begin on Monday, August 19th, 2019. Your starting compensation package includes three components: salary, bonus (details to be negotiated within your first year of employment), and a benefit program. This position will pay \$92,000 per year (\$3,538.46 bi-weekly).

Upon the successful completion of your 90-day probationary period you will become eligible for a number of full employment benefits as outlined on the accompanying page. Specific to your situation as a key manager, health care will be made available to you effective immediately upon the first day of your employment and the premium would be covered in full.

Subject to a routine motor vehicle and background check, and a copy of your most recent W2, your starting package is based upon your indications and statements to me and to my staff that you are fully capable of meeting the requirements and description of the job as has been outlined to you previously. This offer is made on an "at will" basis and should not be construed as a guarantee of employment for any specific duration.

Please indicate your acceptance of our offer by signing below and returning one copy of the letter, with your original signature, to me no later than August 5, 2019. We would appreciate having your decision as soon as possible, but please feel free to talk to me further if you have any questions.

Karen, I am confident that you have the skills, enthusiasm, and talent to be successful in this challenging position. I look forward to having you on my team.

Welcome to JOHNSTONE SUPPLY!

Sincerely,

Kenneth Livingston
President
Enclosures (2)

By signing below, you are accepting this position and our offer.

Karen Craft _____

Date _____



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2018 BENEFITS OVERVIEW – MANAGER *

BENEFIT	DESCRIPTION	EMPLOYEE CONTRIBUTION	VESTMENT PERIOD
Health Insurance offered through Excellus and MVP HealthCare (Premium Only Plan-Section 125)	Excellus SimplyBlue Plus Gold 6 - Company covers 100% of the equivalent Silver 3 premium cost and provides a Health Reimbursement Account (HRA) in the amount of \$1,400 single/\$4,300 family. MVP Liberty Silver 3 - Company covers 100% of the premium cost and provides a Health Reimbursement Account (HRA) in the amount of \$2,200 single/\$5,400 family. Excellus SimplyBlue Plus Bronze 3 - Company covers 100% of the premium cost and provides a Health Reimbursement Account (HRA) in the amount of \$2,000 single/\$5,000 family.	Balance of premium costs <u>not</u> covered by the Company plus applicable out of pocket annual maximum of \$2,800 single/\$5,600 family less employer provided HRA. Co-pays up to annual out of pocket maximum of \$4,800 single/\$9,600 family less supplemental employer provided. 30% co-insurance up to annual maximum of \$6,550 single/\$13,100 family less employer provided HRA.	None
Health Club Allowance	Company will pay 25% of annual dues to a maximum of \$100/year towards an active membership in a health club subject to prior approval.	Any portion over company contribution.	Upon the completion of Ninety (90) days
Working Advantage®	Online employee discounts and rewards program featuring some of the most respected vendors in the country for shopping, entertainment, theatre and events.	N/A	Upon the completion of Ninety (90) days
BalanceWorks®	A fully integrated work/life Employee Assistance Program (EAP), designed to help effectively balance the competing demands of work and life before personal problems affect professional performance.	N/A	Upon the completion of Ninety (90) days
Flexible Spending Account (Section 125)	Pre-tax budgeting tool to help pay out-of-pocket medical, dental, and dependent care expenses not covered by other company insurance benefits.	Voluntary contribution up to \$2550 annually for medical; \$5,000 dependent care deduction.	One (1) year, over 21 years of age, and works more than 1500 hours per year.

BENEFITS OVERVIEW- (Continued)

BENEFIT	DESCRIPTION	EMPLOYEE CONTRIBUTION	VESTMENT PERIOD
Supplemental Short-Term Disability offered through AFLAC	Provides earnings coverage for up to 6 months of Temporary Disability when unable to work. This benefit supplements coverage for which you are entitled under NYS Disability Law.	100%	First of the Month Following Ninety (90) days
Personal Accident Insurance (Premium Only Plan-Section 125) offered through AFLAC	Pre-tax coverage for benefits payable to you and/or your family in the event of an injury caused by a covered accident including but not limited to travel costs, doctor/hospital visits and physical therapy, etc.	100%	First of the Month Following Ninety (90) days
Personal Cancer Insurance (Premium Only Plan-Section 125) offered through AFLAC	Pre-tax coverage for benefits payable to you and/or your family in the event of a first occurrence determination of cancer. Benefits paid to you for use at your discretion to cover expenditures over and above those provided by major medical.	100%	First of the Month Following Ninety (90) days
Dental Insurance (Premium Only Plan-Section 125)	Pre-tax coverage of dental expenditures for you and/or your family.	100%	First of the Month Following Ninety (90) days
Group Term Life Insurance and AD&D Coverage offered through Principal	Life insurance coverage for you of \$50,000. Accidental Death & Dismemberment coverage for you of \$50,000.	100% for supplemental coverage <u>only</u> in excess of \$50,000 to a maximum of \$300,000 and 3x Salary or \$50,000 for AD&D. Spousal and Child(ren) insurance available.	First of the Month Following Ninety (90) days
National Holidays	6 paid days annually.	N/A	None
Paid Time Off	14 Days per year; weeks are not to be taken consecutively. Additional 15 th floating PTO day in recognition of your birthday; to be used during the month of your birthday.	N/A	First of the Month Following six (6) months service. 15 th PTO day eligible after 3 years of service.
Bonus	<u>Negotiable</u> - [A performance bonus based on the achievement of qualitative and quantitative goals to be determined within the first 180-360 days of your employment.]	N/A	Six (6) – twelve (12) months
Tuition Reimbursement [‡]	Company will pay up to 100% of tuition for job-related courses subject to prior approval.	Any portion over company contribution.	One (1) year
Savings and Investment Plan	401K defined contribution plan. Company invests on behalf of each employee a percentage of annual gross wages for all plan-eligible employees in accordance with the following schedule:	Deferral of up to 25% of annual gross wages but not to exceed \$18,000. Additional \$6,000 catch-up contribution for	One (1) year, over 21 years of age, and works more than 1000 hours per year.

BENEFITS OVERVIEW- (Continued)

	<u>Employee Contribution</u>	<u>Employer Match</u>	employees aged 50 and over.
	1%	1%	Pre-tax and after-tax (Roth) programs available.
	2%	2%	
	3%	3%	
	4%	3.5%	
	5%	4%	

* *These benefits do not constitute a contract with the employee and may be subject to change without notice.*

‡ *Subject to prior approval. Employee must achieve a minimum grade point average. Actual percentage is at the discretion of management.*

NOTE: All Johnstone Supply employees are employed at will.

I have received a copy of this document.

Signature of Employee

Name of Employee (please print) and date



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JOB DESCRIPTION

Job Title: **Controller**
FLSA Status: Exempt
Reports To: President

Position Summary:

Contributes to the financial and operational integrity of Johnstone Supply by managing the daily administrative operations and staff (HR/IT/Finance/Accounting) and their resources, playing a vital support role to internal users while ensuring compliance with GAAP, accurate preparation of financial and managerial reports, as well as continuously improving processes and procedures for increased efficiency and effectiveness of the business enterprise.

Subordinate Summary:

At any given time multiple positions may be filled by the same individual.

1. Directly supervises the Accounting and Financial Analyst who is responsible for the general ledger, managing organizational, operational and financial information and preparing financial reports. This position is also responsible for managing the AP function.
2. Directly supervises the Accountant who is responsible for administering the Company's credit policy and procedures, processing payments and maintaining customer account records. The Accountant also has general ledger responsibility for vendor rebates and inventory.
3. Directly supervises the receivables clerk whose primary focus is collecting payment on aged receivables.
4. Directly supervise the Inventory/price analyst who plays an integral role in price and product management.
5. Directly supervises the resources employed in the management of company data processing systems, telephony systems and network hardware and software.

Essential Job Results:

Staffing

1. Manage department resources such as personnel, equipment, or supplies by identifying department needs, and obtaining and allocating resources to meet those needs.
2. Manage department staff by:
 - Conducting interviews in the hiring process and making hiring recommendations;
 - Overseeing the training, cross training and development of employees;

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Controller- Continued

- Coaching, counseling, and disciplining employees, as necessary;
 - Conducting annual performance and developmental reviews.
 - Internal Controls
3. Ensure the efficiency and effectiveness of the Finance Department by assisting the President in:
 - Setting accounting policies;
 - Selecting accounting methods;
 - Ensuring compliance with GAAP; and
 - Continuously improving the Department through the use of technology and streamlined processes and workflow.
 4. Monitor controls and procedures including, Cash Disbursements, Cash Receipts; and General Ledger.
 5. Manage contractors and their contracts (if any) employed by Johnstone in the management of its IT services, financial operations or facilities maintenance.

General Ledger/Financial Reporting

1. Prepare and analyze monthly financial statements and reports against budget and prior year.
2. Consolidate year-end financial information and prepare financial statements for year-end closing.

Operations

1. Administer daily operations of the Finance, HR and IT personnel, contractors and systems.
2. Audit (if required or needed) – Manage the annual audit by preparing audit schedules, providing auditors with substantiation and documentation, and coordinating the annual inventory test counts (or annual inventory, if needed) at the Distribution Centers.
3. Retirement Audit (if required or needed) – Manage the annual audit by preparing audit schedules, providing auditors with substantiation and documentation, as well as providing a quarterly update to the Retirement Plan Trustees.
4. Budget Process – Provide year-to-date budget information, and assist in rolling up department budgets and compiling financial statements & 3-year projections.
5. Reporting – Prepare various reports for General Management and/or other users on a routine and/or ad hoc basis. May include collecting information, formatting information into reports and reviewing reports for accuracy.
6. Strategic Planning Process – Coordinate with General Management in the development, reporting and routine tracking of company strategic plans.
7. Payroll – Provide bi-weekly reporting of payroll hours, expense reimbursements, bonus calculations, and other HR benefit tracking data to the company's payroll service. Review and submit any and all quarterly and annual reports as may be required by various government agencies.
8. Facility Management – Coordinate with Branch Managers to ensure that all facilities and staff are in compliance with required health and safety regulations, that building mechanicals, lighting, plumbing, etc are operating as intended and routine building maintenance and groundskeeping is being performed where needed.

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Controller- Continued

Other

1. Establishes and maintains positive and constructive working relationships with other company personnel by serving as liaison to and establishing open lines of communication with managers.

Johnstone Supply believes that each employee's contribution should not be limited by the assigned responsibilities. Therefore, it is our expectation that each employee will offer his/her services wherever and whenever necessary to ensure the success of our endeavors.

Qualifications:

To perform this job successfully, an individual must be able to perform each essential duty satisfactorily. The requirements listed below are representative of the knowledge, skill, and/or ability required.

Reasonable accommodations may be made to enable individuals with disabilities to perform the essential functions.

Education and/or Experience:

Required:

- Bachelor's degree (B.S.) in Accounting/Finance from a four-year college or university.
- 6+ years of hands on financial managerial experience in a fast paced environment.

Preferred:

- CPA, CMA or MBA.

Job-Specific Knowledge, Skills and Abilities

1. Expertise of Generally Accepted Accounting Principles.
2. Expertise with networking technology and applications Microsoft Office Suite
3. Expertise with ERP systems.
4. Expertise of internal control systems.
5. Knowledge of Federal and State tax laws.
6. Knowledge of wholesale distribution industry.
7. Knowledge of and ability to apply human resource management principles, including hiring, training and orienting, coaching, and evaluating employees.
8. Ability to work with mathematical concepts such as probability and statistical inference. Ability to apply concepts such as fractions, percentages, ratios, and proportions to practical situations.
9. Ability to work with and develop new techniques for the use of technology in the streamlining of business operations.
10. Problem-solving skills: listening to, interpreting, and meeting the needs of others; diagnosing and rectifying problems.
11. Project management skills: establishing objectives, timelines and deadlines; action planning to meet deadlines; evaluating current and future positions.

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Controller- Continued

12. Ability to establish and continuously improve work procedures and systems.
13. Ability to collect data, evaluate results, and draw valid conclusions.
14. Ability to develop and use systems to organize and keep track of information.
15. Ability to attend to detail.
16. Ability to lead and influence others to meet department and organizational goals.
17. Ability to communicate across different individuals, departments and external parties.
18. Ability to write a verbal synopsis of financial status and activities.
19. Ability to effectively present information both orally and in writing.
20. Ability to listen to others to identify needs and concerns.

Work Behaviors

1. Ability to work with others in a team-based environment.
2. Works according to the company's Guiding Principles.
3. Maintains confidentiality of information.
4. Keeps the company's best interest in mind when considering or addressing issues.
5. Desire to support and meet the needs of customers, suppliers, other employees, and the Cooperative as a whole.

Physical Demands & Work Environment

The physical demands and work environment characteristics described here are representative of those an employee encounters while performing the essential functions of this job. Reasonable accommodations may be made to enable individuals with disabilities to perform the essential functions.

Physical Demands: While performing the duties of this job, the employee is regularly required to stand; walk; use hands to finger, handle, or feel; reach with hands and arms; climb or balance; talk or hear; and lift up to 50 pounds. The employee is occasionally required to stoop, kneel, crouch, or crawl; sit; and taste or smell. Specific vision requirements are close vision, distance vision, peripheral vision, depth perception, and the ability to adjust focus.

Work/Office Environment: Typical office building with most work performed at a desk using equipment such as PCs, phones, faxes, and paper files.

Skills Summary:

Oral Communications Skills	Diplomacy
Reading Skills	Math Aptitude
Team Building Skills	Computer Skills
Customer/Vendor Relations	Project Management
Organization	Project Management
Written Communication Skills	Interpersonal Skills

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Controller- Continued

Time Management

Ability to lift up to 50 pounds

The Controller will maintain the strictest confidentiality on all corporate matters including, but not limited to: marketing strategies, operational structures, financial performance data and all subjects that may have an adverse effect on the company in the marketplace if they were made known outside the company.

Approved by:

Incumbent

Date

Supervisor

Date

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